

NEW ZEALAND 2001

1. Overview of the system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. For example, social security benefits for the unemployed are not funded from specific employee/employer contributions. There are no minimum working hours or earnings required in order for a person to be covered by the social security provisions. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of a married couple).

A guaranteed minimum family income (family tax credit) exists, but only for non-beneficiary families with children whose main source of income is salary or wages. A family assistance programme is also available consisting of a child tax credit, parental tax credit and family tax credit. The tax unit is based on personal income, although eligibility for family tax credits is based on combined family income. At 30 June 2001, the average taxable income of personal taxpayers was NZD 24 596, while the average taxable income for those in paid employment was NZD 36 938.

The 2001 AW earnings level is NZD 34803.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

3.1 *Conditions for receipt*

A person is entitled to the Unemployment Benefit provided they are available and willing to undertake paid employment. A person must have resided in New Zealand for at least two years and be over the age of 18, or alternatively over the age of 16, and married with one or more dependent children. They must not be in full-time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find full-time employment.

3.1.2 *Employment conditions*

None.

3.1.3 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not on the individual.

Family type	Gross Rate (NZD per 4 weeks)
Single 18-19 at home	484.84
Single 18-19 away from home	606.08
Single 20-24	606.08
Single 25 and over	727.36
Single parent + 1 child	1 065.36
Single parent + 2 or more children	1 167.32
Married couple	1 212.16
Married couple with 2 or more children	1 288.08

In the case of married couples, each partner receives half of the total benefit.

3.2.2 Income and earnings disregarded

The net payment is reduced by a certain percentage of gross before tax earnings:

Gross income (in NZD per week)	Reduction (in net benefit)
Exceeding NZD 80	70%

The unit of income assessment is personal income or joint income in the case of married couple.

3.3 Tax treatment of benefit

Benefits are taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4. Benefit duration

The benefit is payable indefinitely, however, a stand down is applied to new applicants. The length of the stand down (1-10 weeks) is based on gross income and family circumstances in the 6 months prior to the date of benefit entitlement. A longer waiting period (13 weeks) applies to an applicant for an employment-related benefit who has left their employment without a good reason, or who has lost their employment due to serious misconduct..

3.5 *Treatment of particular groups*

3.5.1 *Young people*

The Independent Youth Benefit (IYB) rate in April 2001 was NZD 606.08 gross for each four-week period. The basic qualification for the IYB requires the applicant to be 16 or 17 years of age, to be without a dependent child or dependent children, and to have resided in New Zealand for not less than 2 years. An applicant for IYB must not be living with their parents or expect to be financially dependent on their parents, due to a breakdown in family circumstances. Tertiary students are not eligible for the IYB as they are able to apply for a student allowance through the Ministry of Social Development. The Job Search Allowance for 16-17 year olds was repealed on 1 January 1998.

3.5.2 *Older workers*

The work test provisions are relaxed for older job seekers. Recipients of work tested benefits are exempt from the work test in the following situations:

- If they are aged 55 years or over and have been subject to the work test for at least 6 months since reaching that age.
- If they are aged over 60 years.

4. **Social assistance**

No information.

5. **Housing benefits**

5.1 *Conditions for receipt*

Payable to those with high accommodation costs (private rent, board or home ownership costs) and low income/assets.

5.2 *Calculation of benefit amount*

The calculation of the benefit is based on actual accommodation costs.

5.2.1 *Calculation of gross benefit*

The rate payable is 70 per cent of the accommodation costs exceeding 25 per cent of the after tax rate of Unemployment Benefit plus the first child rate of Family Support for people with children to which the household would be eligible (see Section 3.2.1). It is increased by Family Support for the first child only (see Section 6). The maximum housing benefits are regionally determined. For example, the housing benefit available in Auckland reflects the higher accommodation costs in that city.

Weekly Maximum (in NZD)			From 1 April 2001
Family Type	Area 1	Area 2	Rest of NZ
1 Person	100	65	45
2 People	115	75	55

3+ People	150	100	75
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Note:

Area 1: Auckland;

Area 2: Hamilton, Tauranga, Rotorua, Napier, Hastings, Palmerston North, Wellington, Nelson and Christchurch;

5.2.2 *Income and earnings disregards*

For beneficiaries receiving the Unemployment Benefit or any other benefit, the rent supplement is reduced by 25 cents per dollar for gross earnings up to NZD 80 per week (earnings of both partners are added). At that stage the entitlement remains fixed for as long as the applicant remains on benefit (or unless earnings cease). For non-beneficiaries the entitlement is reduced by 25 cents for every dollar earned above the applicable gross weekly rate of Invalid's Benefit plus an amount of NZD 17.92.

A cash assets test is also applied. For a married couple or a single person with a dependent child or children, every NZD 100 of cash assets over NZD 5 400 held is treated as NZD 1.00 per week income. In the case of a single person, every NZD 100 of cash assets over NZD 2 700 held is treated as NZD 1.00 per week income. Assets exceeding NZD 16 200 in the case of a married person/single person with a dependent child or NZD 8 100 in any other case preclude entitlement.

Family Type	Invalids Benefit (NZD per 4 weeks) Gross Rate
Single 16-17 years	807.72
Single 18 years and over	994.32
Married person with no children	831.32
Single person with 1 child	1 301.16
Single person with 2 or more children	1 396.04
Married person with 1 or more children	831.32

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Treatment of particular groups*

None.

6. **Family benefits**

6.1 *Conditions for receipt*

The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year.

6.2 *Calculation of benefit amount*

The amounts are differentiated by age of the child.

6.2.1 *Calculation of gross benefit*

The yearly amounts in NZD are:

Number of Children	Rate per child (NZD per 4 weeks) Gross Rate
For the Eldest Child	
Aged 0 – 15 years	188.00
Aged 16 – 18 years	240.00
For Each Additional Child	
Aged 0 – 12 years	128.00
Aged 13 – 15 years	160.00
Aged 16 – 18 years	240.00

6.2.2 *Income and earnings*

The tax credit is reduced by 18 cents per dollar earned between (joint in the case of a couple) NZD 20 000 – NZD 27 000 and by 30 cents per dollar earned above NZD 27 000.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

None.

7. **Child-care benefits**

Child-Care Subsidy: The primary objective of the Child-Care Subsidy (CCS) is to assist low-income families in education, training or employment (and families with disabilities) to access approved early childhood services. The Child-Care subsidy is payable to the provider of Child-Care. The rate payable takes into account an applicant's income (see table below).

Out of School Care and Recreation Subsidy (OSCAR): The primary objective of the OSCAR subsidy is to help caregivers meet the costs associated with out of school care while they work or actively prepare for work through training or education. The subsidy covers out of school care and school holiday programmes while the parent or caregiver works or actively prepares for work. The rate payable takes into account an applicant's income. The subsidy is payable to the provider of OSCAR services. It is directed towards parents with primary school aged children (5-14 years old).

7.1 Conditions for receipt

Families who meet the income test and are in work related activities may access up to 37 hours subsidised child-care per week. All other low-income families may be eligible for 9 hours of Child-Care Subsidy per week.

7.2 Calculation of benefit amount

7.2.1 Calculation of gross benefit

The maximum rate for 37 hours child-care is NZD 89.91 per week.

Childcare Assistance Income Thresholds (gross weekly)				
Number of children	Income Per Week (in NZD)			
1	Up to 520	521 - 570	571 - 620	621+
2	Up to 640	641 - 690	691 - 740	741+
3+	Up to 750	751 - 800	801 - 850	851
Rate Applicable	Rate 1	Rate 2	Rate 3	NIL

Childcare Assistance Rates of payment (Gross Rates in NZD)			
Childcare subsidy hourly rate	Rate Applicable		
	Rate 1	Rate 2	Rate 3
	2.43	1.69	0.93
Maximum weekly rates (up to 37 hours)	89.91	62.53	34.41
OSCAR Subsidy Hourly Rate	1.88	1.31	0.73
Maximum weekly rates:			
Term time (up to 20 hours per week)	37.60	26.20	14.60
Holidays (up to 37 hours per week)	69.56	62.53	27.01

For full day child-care the maximum rate is NZD 89.91 per week per child (37 hours or more per week). The benefit covers about half of the total expenses.

Maximum rate of subsidy (in NZD)	Gross weekly income 1 child (in NZD)	Gross weekly income 2 children (in NZD)	Gross weekly income 3 children (in NZD)
89.91 per week	up to 520 (27 040 p.a.)	up to 640 (33 280 p.a.)	up to 750 (39 000 p.a.)
62.53 per week	521 to 570 (29 640 p.a.)	641 to 690 (35 880 p.a.)	751 to 800 (41 600 p.a.)
34.41 per week	571 to 620 (32 240 p.a.)	691 to 740 (38 480 p.a.)	801 to 850 (44 200 p.a.)
nil	621 or more	741 or more	851 or more

7.2.2 *Income and earnings disregard*

Benefits are reduced with gross earnings, see 7.2.1

7.3 *Tax treatment of benefit*

Not taxable.

7.4 *Treatment of particular groups*

None.

8. **Employment-conditional benefits**

8.1 *Conditions for receipt*

The guaranteed minimum family income (known as the Family Tax Credit) is only available to non-beneficiary families. To qualify, a principal child carer or partner must work for salary or wages. This work must be for at least 20 hours per week in a sole parent family and a combined 30 hours per week in a two-parent family. The self-employed are not eligible for the Family Tax Credit.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The Family Tax Credit ensures a minimum net income of NZD 286 net per week (NZD 14 872 net per annum) before Family Support and the Child Tax Credit.

8.2.2 *Income and earnings disregards*

Family, housing and child-care benefits are excluded from the income test.

8.3 *Tax treatment of benefit*

Not taxable.

8.4 *Benefit duration*

Indefinite.

8.5 *Treatment of particular groups*

8.5.1 *Young persons*

None.

8.5.2 Older persons

None.

9. Sole parent benefits

Sole parents generally qualify for a Domestic Purposes Benefit. The payment rate is similar to the Unemployment Benefit but without the strict income tests (see Section 3.2.2). There is an earnings disregard of NZD 80 per week, after which benefits are reduced by 30 cents for each dollar of earnings up to NZD 180. Earnings above NZD 180 per week reduce the benefit by 70 cents for each dollar earned.

- Sole parents with children aged over 14 years are expected to look for full time work;
- Sole parents with children between the ages of 6–13 are expected to look for part-time work; and
- Sole parents with children under the age of 6 are expected to attend a compulsory interview once a year. They will either receive the Domestic Purposes Benefit or the Unemployment Benefit. If they receive the Unemployment Benefit, they must fulfil the normal work eligibility conditions and be seeking full-time work.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and tax credits

Low Income Earner Rebates

- *Taxable income under NZD 38 000 rebate:* 4.5 cents per dollar of income up to NZD 9 500 (thus maximum is NZD 427.50). Over the income range from NZD 9 500 to NZD 38 000, the rebate is gradually retained at 1.5 cents per dollar, resulting in an effective tax rate of 21 per cent over that range.
- *Income under NZD 9 880 rebate:* a maximum rebate of NZD 728. The rebate is reduced by 20 cents per dollar earned in excess of NZD 6 240. This rebate is only available for people working 20 hours per week or more.

Family support tax credit

For an eldest child aged 16-18, the rate of family support tax credit is NZD 3 120 per year, while the rate of NZD 2 444 applies if the eldest child is younger than 16. For subsequent children the rate depends on the age of the child; NZD 3 120 per year for 16-18 year-olds, NZD 2 080 per year for 13-15 year-olds and NZD 1 664 per year for children under 13 years of age. The total credit is abated by 18 cents on each dollar earned in range NZD 20 000 – 27 000 and by 30 cents on each dollar earned over NZD 27 000. The abatement is based on the combined income of husband and wife.

Child Tax Credit

The Child Tax Credit is available to families not receiving an income-tested benefit, veteran's pension, New Zealand superannuation, student allowance or a weekly accident compensation for a period of more than 3 months. The level of assistance it provides is NZD 780 per child per year. It is affected by

the abatement regime used with the family support tax credit, although it is unaffected until the latter has been abated to zero. In effect it is part of the family support tax credit.

Family Tax Credit

The Family Tax Credit is a scheme that ensures a guaranteed minimum family net income (after tax and ACC contributions) for all full-time earners with dependent children. The guaranteed minimum after-tax income is NZD 290 per week plus family support tax credit.

10.1.2 The definition of taxable income

Gross family income including taxable benefits (Unemployment and Sole Parent benefits).

10.1.3 The tax schedule

Gross Taxable income (NZD per year)	Tax rate (%)
0 – 38,000	19.5%
38,001 – 60,000	33%
Above 60,000	39%

Gross Taxable income (NZD per year)	Effective Tax rate (%)
0 – 9,500	15%
9,501 – 38,000	21%
38,001- 60,000	33%
Over 60,000	39%

Effective tax rates incorporate the “income under NZD 38 000 rebate”.

10.2 Treatment of family income

Individuals are taxed separately, although combined family income is the unit of assessment for Family Tax Credits.

10.3 Social security contribution schedule

The Accident Compensation Corporation (ACC) provides compulsory, no fault insurance against injury by accident. It covers a range of accident related costs and provides weekly compensation at 80 percent of pre-injury weekly earnings (up to a maximum) when a person is unable to work due to a personal injury covered by the ACC scheme. The ACC earner levy is charged on gross earned income. For 2002, the levy was 1.2%.

11. Part-time work

11.1 Special benefit rules for part-time work

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. *Policy developments*

Following the general election of November 1999, a change of government brought to power a new centre left administration formed between the Labour and Alliance parties. Since this time there have been a number of changes to the benefit and tax systems. The main changes have been income tax increases for high income earners (refer table 10.1.3), an increase in retirement pensions for older people, some changes in rules surrounding repayment of student loans, the reintroduction of an Unemployment Benefit and a separate non-work tested Sickness Benefit and a refocus of the work-related obligations for beneficiaries.

Work test obligations have been embodied in an individual 'job seeker agreement' developed between the beneficiary and their case manager. Participation in unpaid community work is no longer required. Beneficiaries have been encouraged to participate in community activity, voluntary work or suitable training. A complicated graduated sanction regime for serious non-compliance was replaced and income thresholds for eligibility to Disability Allowance have been increased. New provisions in the area of childcare have been aimed at assisting parents into work and income related rentals have been introduced for state house tenants. These changes represent the first steps of the Government's changes directed at improving the situation of low-income working individuals and families.

12.1 *Policy changes introduced in the last year*

- The youth and adult minimum wage was increased in March 2000 to reflect the increase in average ordinary time weekly earnings since March 1997 when the minimum wage was last adjusted. The level of the minimum wage is reviewed each year. In March 2001, the age of eligibility to the adult minimum wage reduced from 20 years to 18 years and the youth minimum wage was increased to 70% of the adult minimum wage.
- The tax rate applying to income above NZD 60,000 per annum was increased on 1 April 2000 from 33% to 39%. Other tax rates, including the low income earner rebate remained unchanged;
- Income related rents for state house tenants were introduced on 1 December 2000. For low-income people, rent cannot exceed 25% of their income. If a person's income is greater than the net rate of pension (New Zealand Superannuation), any income above the pension threshold is charged at 50% for income-related purposes. The income-related rent cannot exceed the market rent for the property. This policy restored income-related rents for state house tenants which had applied prior to 1994;
- The maximum number of hours qualifying for the Child Care subsidy and Out of School care subsidy has been increased from 30 to 37 hours per week;
- On 1 April 2001, the community work scheme was replaced by an activity in the community programme, with participation no longer mandatory for work tested beneficiaries who were requested to participate. Voluntary work also became a recognised activity for work tested beneficiaries. Where paid work or other suitable organised activities were not available,

beneficiaries were able to fulfil their employment related responsibilities through participation in suitable paid work.

A range of policy initiatives were introduced on 1 July 2001 as follows:

- The Community Wage, as noted in paragraph 12, was replaced with an Unemployment Benefit and a separate non-work tested Sickness Benefit. Work test obligations were embodied in an individual Job Seeker Agreement (JSA) developed through a process of negotiation between the beneficiary and MSD.
- A JSA included:
 - an acknowledgement that the beneficiary is subject to work test obligations and sanctions for a failure to comply with certain parts of the work test.;
 - specified job search activities that a beneficiary must undertake; and
 - the assistance that MSD would provide to help the job seeker reach their goal.
- A JSA could include:
 - a job seeker development activity (such as employment-related training, work experience and participation in a programme or seminar); and
 - recognised community activities (such as voluntary work or community work).
- The work test sanction regime was simplified. Work-tested beneficiaries who failed without good reason to meet their employment-related responsibilities had their benefit suspended until they met their obligations. Immediate re-compliance resulted in no monetary sanction, although a work test failure was recorded. A third work test failure results in a 13-week non-entitlement period.
- The maximum amount of assistance under the Work Start Grant was increased from \$250 to \$500. This grant is available to beneficiaries entering employment of 15 hours per week or more. It assists with relocation costs if a person needs to relocate to take up a specific vacancy, safety equipment, and bridging finance to cover the period between the last benefit payment and the first payment of wages if the person cancels their benefit to enter employment.
- Access to the New Employment Transition Grant, previously only available to sole parents, was extended to married people with a dependent child or children. For six months following the cancellation of the benefit to enter employment, the grant provides assistance to people who are required to take unpaid leave due to personal illness, illness of their partner or their child, or as a result of a breakdown in their childcare arrangements.
- At the end of 2001, a state funded paid parental leave scheme was announced to commence on 1 July 2002. A maximum payment of NZD 325 gross per week would be payable for 12 weeks, however, an employee must have worked at their current employer for a period of at least one year.